

BEFORE THE
FEDERAL MARITIME COMMISSION

AIRBOSS DEFENSE GROUP,
LLC,

Complainant

v.

FEDEX TRADE NETWORKS
TRANSPORT & BROKERAGE,
INC.; MEDITERRANEAN
SHIPPING COMPANY S.A. AND
MEDITERRANEAN SHIPPING
COMPANY (USA) INC., AS
AGENT FOR MEDITERRANEAN
SHIPPING COMPANY S.A.; AND
TOTAL TERMINALS
INTERNATIONAL, LLC,

Respondents.

Docket No. 24-14

MOTION TO DISMISS

Respondent Total Terminals International, LLC (“TTI”), hereby respectfully moves for dismissal of the complaint filed by AirBoss Defense Group, LLC (“ADG”), for failing to state a claim against TTI. TTI is at a loss for why it is even named as a party to this lawsuit because the complaint is woefully deficient in establishing any cause of action against TTI. TTI is nothing more than a bystander to this complex dispute, and it has not been named as a party in any of the other related actions. That

is because TTI has only a tenuous connection to this matter and has not harmed ADG.

The complaint fails because it does not allege that ADG ever paid TTI, that ADG contracted directly with TTI, that ADG is challenging a customary or normal practice of TTI, or that TTI is a common carrier. Instead, the complaint alleges that TTI is a marine terminal operator which contracted with Mediterranean Shipping Company S.A. (“MSC”), MSC contracted with FedEx Trade Networks Transport & Brokerage, Inc. (“FTN”), who in turn is the party that contracted with ADG. ADG has not identified any viable theory for relief against TTI given these tenuous connections and lack of any misconduct by TTI. Dismissal is warranted.

STATEMENT OF MATERIAL FACTS

In this proceeding, ADG seeks reparations and equitable relief with respect to charges that arose after United States Customs & Border Protection (“CBP”) denied entry into the United States of containers of rubber gloves ADG purchased from a Thailand-based seller.

ADG alleges that after agreeing to supply the U.S. Department of Health & Human Services with nitrile rubber examination gloves, ADG

purchased those gloves from a supplier located in Thailand. Compl. ¶¶ 9–12. To transport the gloves to the United States, ADG contracted with FTN, a non-vessel-operating common carrier. *Id.* ¶¶ 2, 12. FTN, in turn, subcontracted the transport through MSC, a global container shipping company and ocean common carrier. *Id.* ¶¶ 3, 12.¹ MSC vessels call at TTI, and certain containers passed through TTI’s marine container terminal in Long Beach, California. *Id.* ¶¶ 4, 12.

Upon learning that the gloves ADG purchased had been manufactured using illegal labor, CBP issued an order preventing 202 shipping containers containing those gloves from entering the United States. *See id.* ¶ 13. ADG claims that the containers continued to incur demurrage, detention, chassis charges, and per diem fees while detained by CBP. *See id.* ¶¶ 14, 18, 20. To satisfy these unpaid charges, FTN filed liens totaling more than \$14,000,000 on the containers at issue. *Id.* ¶ 18. ADG claims that it was not informed of these liens for several months. *Id.* ¶¶ 18–21. After FTN filed an action for nonpayment against ADG in

¹ This subcontract was arranged by McWilliams Collective, LLC (“McWilliams”), an unlicensed ocean transportation intermediary. *Id.* ¶ 12.

the District of Maryland, FTN agreed to release the liens and settle its claims in exchange for ADG's payment of \$5,000,000. *Id.* ¶ 23.

According to ADG, after this settlement, FTN “induced ADG to believe that the only remaining party with outstanding charges was MSC.” *Id.* ¶ 24. ADG and MSC entered into negotiations and, eventually, their own settlement agreement regarding charges related to the detained shipping containers. *Id.* ¶¶ 24–25, 27.

After executing the settlements with FTN and MSC, ADG arranged for FTN to export the shipping containers back to Thailand using MSC vessels. *Id.* ¶ 28. ADG claims that MSC delayed the export bookings, causing the containers to accrue additional charges that “dramatically increased the projected cost of exportation.” *Id.* ¶¶ 29–30. ADG further claims that FTN “refused to perform the services necessary to mitigate” these costs without receiving payment for additional charges. *Id.* ¶ 31. Eventually, after further delays, the gloves were disposed of in various landfills. *Id.* ADG claims that additional charges continued to accrue

until the gloves’ disposal, and that Respondents “continue to demand payment.”² *Id.* ¶ 32.

Federal court litigation amongst ADG, FTN, McWilliams, and MSC involving these disputed charges is currently pending in the District of Maryland. *Id.* ¶ 42; see *FedEx Trade Networks Transp. & Brokerage, Inc. v. Airboss Def. Grp.*, No. 1:22-cv-01313-LKG (D. Md. filed June 1, 2022); *AirBoss Def. Grp., LLC v. McWilliams Collective, LLC*, No. 1:23-cv-01253-LKG (D. Md. filed May 11, 2023); *FedEx Trade Networks Transp. & Brokerage, Inc. v. AirBoss Def. Grp., LLC*, No. 1:23-cv-02232-LKG (D. Md. filed Aug. 15, 2023); *A.M. Cross Trade Logistics Network, Inc. v. McWilliams Collective, LLC*, No. 1:24-cv-01021-LKG (D. Md. filed Apr. 3, 2024). Importantly, TTI is not a party to any of the district court litigation.

Yet for some reason, ADG also filed the instant complaint, adding TTI along with FTN and MSC, as allegedly being liable for violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 41104(d), and 41104(f), and its

² The reality is that TTI has made no demand against ADG because it contracts with multiple intermediaries who then contracted with ADG. But the tribunal need not take notice of the lack of a demand by TTI to dismiss here. Dismissal is warranted even under the facts as pleaded by ADG.

implementing regulations, 46 C.F.R. §§ 545.4 and 545.5. *See* Compl. ¶¶ 7, 33–40. To redress these supposed violations, ADG seeks injunctive relief and reparations of at least \$11,000,000. *See id.* ¶ 41 & p. 11 (“PRAYER FOR RELIEF”).

But TTI should not be a party to this dispute and should have not been named in this complaint.

LEGAL STANDARD

Though the FMC regulations do not provide for a motion to dismiss, the Federal Rules of Civil Procedure are followed in instances that are not covered by the Commission’s Rules. 46 C.F.R. § 502.12. Rule 12(b)(6) of the Federal Rules generally governs motions to dismiss. When assessing motions brought under this Rule, the Commission applies the standards set forth by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). *See Port Elizabeth Terminal & Warehouse Corp. v. Port Auth. of N.Y. & N.J.*, 1 F.M.C.2d 29, 30–31 (2018) (applying Rule 12(b)(6) *Twombly* and *Iqbal* pleading standards). To survive a Rule 12(b)(6) motion to dismiss, the complaint must contain facts which, accepted as true, would “state a claim to relief that is plausible on its face.” *Twombly*, 550 U.S. at 570

(2007); *see also* *Port Elizabeth Terminal & Warehouse Corp.*, 1 F.M.C.2d at 30–31. “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555).

ARGUMENT

ADG’s complaint fails to state any viable cause of action against TTI for at least three reasons. *First*, ADG does not have standing to sue TTI (with whom it has not contracted directly) for reparations under the direct purchaser rule. *Second*, ADG failed to plead the necessary elements for a violation of 46 U.S.C. § 41102(c) (and the interpretive rules of that section in 46 C.F.R. §§ 545.4 and 545.5) against TTI. *Third*, TTI is not a common carrier and is not governed by 46 U.S.C. § 41104. ADG’s claims against TTI should therefore be dismissed with prejudice.

A. Under the direct purchaser rule, ADG lacks standing to obtain reparations from TTI for any Shipping Act violation.

Pursuant to 46 U.S.C. § 41305, ADG seeks an order requiring TTI to “[p]ay reparations to ADG for all damages flowing from [its] unlawful conduct.” Compl. at 11 (sub-paragraph C. of ADG’s “PRAYER FOR RELIEF”). But ADG lacks standing to obtain this requested relief.

Under section 41305, a complainant can only recover reparations “for actual injury” caused by a Shipping Act violation. 46 U.S.C. § 41305(b). And under longstanding Commission precedent, only direct purchasers of carrier services suffer “actual injury” necessary for standing to seek reparations. *See In re Vehicle Carrier Servs.*, 2019 WL 5558120, at *6, *11 (F.M.C. Oct. 21, 2019). “[T]he Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges.” *Id.* at *6. “In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.” *Id.* (collecting cases)). Accordingly, when a complainant fails to “allege that [it] directly purchased services from Respondent[],” the direct purchaser rule precludes recovery, and dismissal for lack of standing is proper. *Id.* at *7, *27.

Here, the complaint establishes that ADG did not purchase services directly from TTI. *See* Compl. ¶¶ 12, 14, 18 (alleging only that ADG made “payment . . . to McWilliams,” an “unlicensed ocean transportation intermediary” that was “the importer of record” of the at-issue containers). Instead, the complaint alleges that ADG contracted with

FTN, FTN then subcontracted with McWilliams and MSC, and MSC then subcontracted with TTI. *See id.* ¶ 12. As such, ADG fails to satisfy the Commission’s direct purchaser rule, and its claims for reparations from TTI should be dismissed for lack of standing. *See In re Vehicle Carrier Servs.*, 2019 WL 5558120, at *7, *27.

B. ADG has not pleaded essential elements for a viable claim against TTI under 46 U.S.C. § 41102(c).

To state a claim under 46 U.S.C. § 41102(c), a complainant must allege facts establishing five elements: (1) “[t]he respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary”; (2) “[t]he claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis”; (3) “[t]he practice or regulation relates to or is connected with receiving, handling, storing, or delivering property”; (4) “[t]he practice or regulation is unjust or unreasonable”; and (5) “[t]he practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4.

ADG’s section 41102(c) claim cannot meet either the second or fifth element so the claim fails.

1. ADG’s section 41102(c) claim fails because ADG does not allege a normal, customary, or continuous practice by TTI.

First, ADG fails to allege *any* facts showing that any of the “claimed acts or omissions . . . are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4. In fact, the only paragraph about “normal, customary, and continuous” practices does not mention TTI. The most ADG alleges is that “FTN’s and MSC’s practices and regulations relating to the assessment of demurrage/detention . . . are occurring on a normal, customary, and continuous basis.” Compl. ¶ 36. This paragraph is not just wholly conclusory, it fails to mention TTI at all. *See Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 2015 FMC LEXIS 43, at *19 (Dec. 18, 2015) (factual allegations must “show how, in the plaintiff’s mind, the dots should be connected” (quotation marks omitted)).

For this reason alone, ADG failed to state a claim under section 41102(c) against TTI. *See Ngobros & Co. Nigeria v. Ocean Cargo Link, LLC*, 2019 WL 7168688, at *3 (F.M.C. Dec. 17, 2019) (because “§ 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis,” “finding a violation based on a single

act or omission[] is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent”); *Crocus Invs., LLC v. Marine Transp. Logistics, Inc.*, 2021 WL 3732849, at *8 (F.M.C. Aug. 18, 2021) (“Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice.”); *HangZhou Gianwang Dress Co. v. RDD Freight Int’l Inc.*, 2020 WL 5406762, at *5 (F.M.C. Sept. 1, 2020) (“releas[ing] three of Complainant’s shipments to the same consignee without obtaining the original bill of lading or Complainant’s consent” over a “two[-]month[]” period “did not satisfy the ‘normal, customary, and continuous’ element of § 41102(c)”).

2. ADG’s section 41102(c) claim fails because ADG does not allege that TTI is a proximate cause of harm to ADG.

Second, the complaint fails to establish that TTI or its “practice” is the “proximate cause” of ADG’s claimed loss. 46 C.F.R. § 545.4. Proximate cause requires a close link between the alleged misconduct and injury; long chains of nested contracting break the requisite proximate link. *See Bank of Am. Corp. v. City of Miami*, 581 U.S. 189, 201–02 (2017); *Wolf v. Fauquier Cnty. Bd. of Supervisors*, 555 F.3d 311,

321 (4th Cir. 2009). In interpreting federal statutes that incorporate this common-law standard, “the general tendency . . . is not to go beyond the first step.” *Bank of Am. Corp.*, 581 U.S. at 203 (quoting *Hemi Grp., LLC v. City of New York*, 559 U.S. 1, 10 (2010)); cf. *City of Oakland v. Wells Fargo & Co.*, 14 F.4th 1030, 1038–40 (9th Cir. 2021) (no proximate cause for city alleging discriminatory lending practices diminished property tax revenue because harm did not flow “automatically” from lender’s actions and attributing liability to lender would “stretch[] proximate cause principles beyond the first step”).

ADG does not allege that it paid any charges to TTI or contracted with TTI. That is because TTI is a subcontractor to a subcontractor to a contractor to ADG. *See* Compl. ¶ 12. This chain is too attenuated for there to be any proximate link between ADG and TTI. Here, the real proximal link is between the party with whom ADG contracted and to whom it paid the demurrage. *Cf. TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, 2021 WL 794708, at *10, *27 (Feb. 19, 2021) (the party receiving the payment was the proximate cause of trucker company’s injury).

Reinforcing the lack of a proximal link, the complaint makes no independent allegations against TTI that are not lumped together with MSC and/or FTN. *See* Compl. ¶¶ 31–32 (asserting vaguely that multiple defendants charged demurrage and detention and continue to demand payment for those charges without specifying which parties made or received those demands). Tellingly, ADG concedes that TTI “never invoiced ADG.” *Id.* ¶¶ 21, 31. And TTI is not among the parties in the numerous federal court litigations brought by and against ADG relating to the underlying payment obligations. *See id.* ¶¶ 20, 42 (discussing actions in the District of Maryland). Because there is no close link between TTI and ADG, the complaint fails to allege facts sufficient to show that TTI was the proximate cause of the alleged harm.

Perhaps ADG’s (unpleaded) theory is that ADG paid the demurrage to an intermediary, that the intermediary separately paid demurrage to TTI, and that this allows ADG to bring a complaint against TTI directly. But that is not how proximate cause works. As the Commission has explained, the interpretive rule on demurrage “might be relevant” where “marine terminal charges to ocean carriers are passed on to shippers and their agents via demurrage.” Interpretive Rule on Demurrage and

Detention Under the Shipping Act, 85 Fed. Reg. 29,638, 29,650–51 (May 18, 2020). “In those instances, however, the Commission would be assessing *the reasonableness of ocean carrier demurrage practices vis-à-vis shippers, intermediaries, and truckers, not marine terminal operator practices . . .*” *Id.* (emphasis added). Even if an intermediary purportedly “passed on” TTI’s charges to ADG, the proper course would be for ADG to bring a complaint against the intermediary—here, FTN, and not TTI, who is too far down the chain. Because ADG failed to plead facts establishing proximate cause against TTI, ADG’s section 41102(c) claim should be dismissed with prejudice.

3. The interpretive rules at 46 C.F.R. §§ 545.4 and 545.5 do not supply an independent cause of action.

To the extent that ADG purports to bring claims against TTI for violations of 46 C.F.R. §§ 545.4 and 545.5, *see* Compl. ¶¶ 7, 31, those claims fail as a matter of law. The regulations are merely interpretive rules about 42 U.S.C. § 41102(c), and ADG failed to state a claim under section 41102(c). The rules do not impose substantive legal obligations and cannot supply an independent cause of action. *See* 46 C.F.R. § 545.4 (discussing “Interpretation of Shipping Act of 1984—Unjust and

unreasonable practices”); *id.* § 545.5(a) (“The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.”); 85 Fed. Reg. at 29,641–42 (“Interpretive rules and policy statements, in contrast, are explanatory in nature; they do not impose new obligations. . . . [As an interpretive rule, § 545.5] could not be the basis for a Commission enforcement action or a private party reparation action. There are no ‘requirements’ or mandates or dictates in the rule for an ocean carrier to violate. In other words, one cannot bring an action based on the rule alone—the basis for any legal action would be section 41102(c).”). Any such claim must be dismissed.

C. ADG has not pleaded a viable claim against TTI under 46 U.S.C. § 41104.

ADG also fails to state a cognizable claim against TTI under 46 U.S.C. § 41104, which contains requirements applicable to “common carriers.” *See* 46 U.S.C. § 41104. But unlike the other Respondents, TTI is not a common carrier. *See* Compl. ¶¶ 2–3. TTI is a marine terminal operator, as the complaint acknowledges. *See id.* ¶ 4. And a separate provision of the Shipping Act—section 41106—sets forth the specific prohibitions applicable to “marine terminal operators.” *See* 46 U.S.C.

§ 41106. Accordingly, ADG fails to state a claim against TTI under the common carrier provision. And in any case, the complaint concedes that TTI does not contract with ADG, ADG has not paid TTI money, and TTI did not send ADG an invoice. *See* Compl. ¶¶ 12, 21, 31, 40. Given the allegations as pleaded, ADG has not shown how TTI could have violated subsections (a), (d), and (f) of section 41104.

D. If the Commission stays this action in lieu of dismissal, it should enter a stay as to all parties, including TTI.

TTI understands that concurrent with the filing of this motion, its co-Respondent MSC has filed its own motion to dismiss, which requests that this action be stayed if ADG's complaint is not dismissed. If the Commission is inclined to grant MSC's request for a stay, TTI respectfully requests that the Commission stay ADG's claims against all parties, including TTI. Because TTI is essentially a bystander to this action, allowing it to proceed against TTI but not other Respondents would unnecessarily consume the time and resources of ADG, TTI, and this Commission.

CONCLUSION

ADG failed to plead a cognizable claim against TTI. Any viable dispute in this action is between ADG and FTN. For the foregoing

reasons, dismissal of TTI from the complaint with prejudice is appropriate to avoid futile discovery practice and briefing. For similar reasons, should the Commission decide to stay this litigation, its stay order should extend to the entirety of this action, including ADG's claims against TTI.

Dated: May 31, 2024

/s/ Joseph N. Akrotirianakis

Joseph N. Akrotirianakis
KING & SPALDING LLP
633 West Fifth Street
Suite 1600
Los Angeles, CA 90071
jakro@kslaw.com

Jeremy M. Bylund
KING & SPALDING LLP
1700 Pennsylvania Avenue NW
Suite 900
Washington, DC 20006
(202) 737-0500
jbylund@kslaw.com

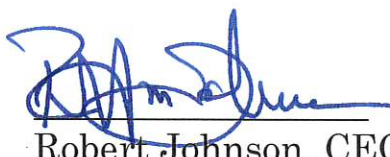
Martha Banner Banks
KING & SPALDING LLP
1180 Peachtree Street NE
Suite 1600
Atlanta, GA 30309
(404) 572-4600
bbanks@kslaw.com

Verification Pursuant to 46 CFR § 502.6

I, Robert Johnson, declare as follows:

1. I am the Chief Executive Officer of Total Terminals International, LLC.
2. I am duly authorized to make this verification of behalf of Total Terminals International, LLC.
3. I have read the contents of the Motion to Dismiss in FMC Docket No. 24-14 attached hereto, and I verify under penalty of perjury under the laws of the United States of America that the foregoing motion to dismiss is true and correct to the best of my knowledge, information, and belief.

Date: 5/30/24



Robert Johnson, CEO
Total Terminals International,
LLC

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of May, 2024, a true and correct copy of the foregoing Motion for Extension was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via email on:

David K. Monroe
Rachel E. Amster
GKG Law, P.C.
dmonroe@gkglaw.com
ramster@gkglaw.com
Attorneys for FedEx Trade Networks Transport & Brokerage, Inc.

Cameron W. Roberts, Esq.
Theodore H. Adkinson, Esq.
Roberts & Kehagiaras LLP
cwr@tradeandcargo.com
tha@tradeandcargo.com
Attorneys for AirBoss Defense Group, LLC

Wayne R. Rohde
Cozen O'Connor
wrohde@cozen.com
Attorney for MSC Mediterranean Shipping Company S.A. and Mediterranean Shipping Company (USA) Inc. as agent for MSC

Vincent M. DeOrchis
Kaspar Kielland
vdeorchis@mmwr.com
kkielland@mmwr.com
Montgomery McCracken Walker & Rhoads LLP
Attorneys for MSC Mediterranean Shipping Company S.A. and Mediterranean Shipping Company (USA) Inc. as agent for MSC

/s/ Joseph N. Akrotirianakis
Joseph N. Akrotirianakis